

Market Conditions Addendum to the Appraisal Report

MARKET RESEARCH & ANALYSIS

The purpose of this addendum is to provide the lender/client with a clear and accurate understanding of the market trends and conditions prevalent in the subject neighborhood. This is a required addendum for all appraisal reports with an effective date on or after April 1, 2009.

Property Address 4, Private Drive City Little Whinging State X ZIP Code

Borrower Vernon Dursley

Instructions: The appraiser must use the information required on this form as the basis for his/her conclusions and must provide support for those conclusions, regarding housing trends and overall market conditions as reported in the Neighborhood section of the appraisal report form. The appraiser must fill in all the information to the extent it is available and reliable and must provide analysis as indicated below. If any required data is unavailable or is considered unreliable, the appraiser must provide an explanation. It is recognized that not all data sources will be able to provide data for the shaded areas below; if it is available, however, the appraiser must include that data in the analysis. If data sources provide all the required information as an average instead of the median, the appraiser should report the available figure and identify it as an average. Sales and listings must be properties that compete with the subject property, determined by applying the criteria that would be used by a prospective buyer of the subject property. The appraiser must explain any anomalies in the data, such as seasonal markets, new construction, foreclosures, etc.

Inventory Analysis	Prior 7-12 Months	Prior 4-6 Months	Current - 3 Months	Overall Trend					
Total # of Comparable Sales (Settled)	28	7	9	☒	Increasing	☐	Stable	☐	Declining
Absorption Rate (Total Sales/Months)	4.67	2.33	5.67	☒	Increasing	☐	Stable	☐	Declining
Total # of Comparable Active Listings	13	9	8	☒	Declining	☐	Stable	☐	Increasing
Months of Housing Supply (Total Listings/Ab. Rate)	2.78	3.86	1.41	☒	Declining	☐	Stable	☐	Increasing
Median Sales & List Price, DOM, Sale/List %	Prior 7-12 Months	Prior 4-6 Months	Current - 3 Months	Overall Trend					
Median Comparable Sales Price	279,950.00	275,000.00	283,900.00	☐	Increasing	☒	Stable	☐	Declining
Median Comparable Sales Days on Market	6	7	132	☐	Declining	☐	Stable	☒	Increasing
Median Comparable List Price	359,900.00	359,900.00	359,900.00	☐	Increasing	☒	Stable	☐	Declining
Median Comparable Listings Days on Market	161	149	14	☒	Declining	☐	Stable	☐	Increasing
Median Sale Price as % of List Price	100.00	104.00	100.00	☐	Increasing	☐	Stable	☒	Declining
Seller-(developer, builder, etc.) paid financial assistance prevalent?		☒ Yes	☐ No	☒	Declining	☐	Stable	☐	Increasing

Explain in detail seller concessions trends for the past 12 months (e.g. seller contributions increased from 3% to 5%, increasing use of buydowns, closing costs condo fees, options, etc.)

Concessions reported have been decreasing to 0.82% from 1.09% 12 months back. Since real estate agents are not required to report concessions by Georgia MLS, only reported concessions were analyzed.

Are foreclosure sales (REO sales) a factor in the market? ☒ Yes ☐ No If yes, explain (including the trends in listings and sales of foreclosed properties).

During the past year, a significant proportion of sold listings and active listing have been bank-owned properties (REO sales). The excessive number of REO's have contributed to the decline in market value over the past year. However, the data for the area indicates a trend towards a stabilization over the previous six months.

Cite data sources for above information.

MLS - The information was derived from a 1 mile radius search around the subject property.

Summarize the above information as support for your conclusions in the Neighborhood section of the appraisal report form. If you used any additional information, such as an analysis of pending sales, and/or expired and withdrawn listings, to formulate your conclusions, provide both an explanation and support for your conclusions.

There were a total of 44 Comparable Settled Sales in the past 12 months.

The Median Sales Price for the prior 7-12 months was \$279,950 the current to prior 3 months is \$349,900.

Months Supply for the prior 7-12 months was 2.8 and 1.4 for the current to prior 3 month period.

The Median Days on Market for the prior 7-12 months was 6 and 132 for the current to prior 13 month period.

The statistics above were generated from an exported MLS market search. Details regarding the calculations and process can be found online at <http://bradfordsoftware.com/1004mc/calc.shtml>.

CONDO/CO-OP PROJECTS

If the subject is a unit in a condominium or cooperative project, complete the following:

Project Name:

Subject Project Data	Prior 7-12 Months	Prior 4-6 Months	Current - 3 Months	Overall Trend					
Total # of Comparable Sales (Settled)				☐	Increasing	☐	Stable	☐	Declining
Absorption Rate (Total Sales/Months)				☐	Increasing	☐	Stable	☐	Declining
Total # of Active Comparable Listings				☐	Declining	☐	Stable	☐	Increasing
Months of Unit Supply (Total Listings/Ab. Rate)				☐	Declining	☐	Stable	☐	Increasing

Are foreclosures sales (REO sales) a factor in the project? ☐ Yes ☐ No If yes, indicate the number of REO listings and explain the trends in listings and sales of foreclosed properties.

Summarize the above trends and address the impact on the subject unit and project.

APPRAISER

Signature	
Supervisor Name	
Company Name	
Company Address	
State License/Certification #	State
Email Address	